Advanced Empirical Finance: Topics and Data Science

Shrinking the SDF

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Today

- The SDF in the factor zoo
- Shrinkage priors for the SDF
- Sparse in characteristics or in principal components?

The SDF in the factor zoo

TBD

Shrinkage priors for the SDF

TBD

Sparse in characteristics or in principal components?

TBD

Before the next lecture

- **Exercise 6:** Shrinkage estimation
- **Read:** Lettau & Pelger (2020)